

new phenomenon in recent years—the loaning of money to corporations by banks, repayable over a period of several years. Most of this money has been borrowed for the purpose of retiring bond issues (e.g., Commercial Investment Trust Corporation in November 1939) and even preferred stock (e.g., Archer-Daniels-Midland Company in 1939). In some cases such loans have been made for additional working capital (e.g., Western Auto Supply Company in 1937) or to replace ordinary short-term bank credit (e.g., American Commercial Alcohol, Stokely Brothers). In most cases it is stipulated or expected that the loans will be retired in annual installments.

From the standpoint of security analysis this bank credit resembles the short-term notes that used to be sold to the public as a familiar part of corporate financing. It must be considered partly equivalent to current liabilities and partly to early maturing debt. It is not dangerous if either the current-asset position is so strong that the loans could readily be taken care of as current liabilities or the earning power is so large and dependable as to make refinancing a simple problem. But if neither of these conditions is present (as in the Stokely example earlier), the analyst must view the presence of a substantial amount of intermediate bank debt as a potential threat to dividends or even to solvency.

It should not be necessary to dilate further upon the prime necessity of examining the balance sheet for any possible adverse features in the nature of bank loans or other short-term debt.

COMPARISON OF BALANCE SHEETS OVER A PERIOD OF TIME

This important part of security analysis may be considered under three aspects, *viz.*:

1. As a check-up on the reported earnings per share.
2. To determine the effect of losses (or profits) on the financial position of the company.
3. To trace the relationship between the company's resources and its earning power over a long period.

Check-up on Reported Earnings per Share, via the Balance Sheet. Some of this technique has already been used in connection with related phases of security analysis. In Chap. 36, for instance, we gave an example of the first aspect, in checking the reported earnings of American Commercial